Exports sustain growth as domestic demand lags

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【メール原文】

Third-quarter economic growth keeps the annual target within reach as exporters benefit from the global technology investment cycle, while weak domest||||||||||||||||

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Growth target on track as exports offset soft demand

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Economic Policy
China will prioritize long-term industrial targets and financial stability. Third-quarter economic growth beat expectations, reducing pressure on the government for aggressive easing. GDP grew 4.5% year-on-year in the third quarter, with January-September growth rising 4.6% and putting the economy on track to reach the 4.5%–5% annual target. Resilient growth will make Beijing more likely to implement existing measures rather than launch additional support packages.

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Growth is driven by AI-related exports, not consumption. Over the first nine months of 2026, retail services sales rose 5.0% while goods rose just 1.0%, with fixed-asset investment falling 7.2%. Exports filled the gap, led by shipments to South Korea and Taiwan, both of which are AI hardware manufacturing hubs. The value of China's integrated circuit exports jumped 136% year-on-year in September to $45 billion, even though volumes rose just 1%, as AI-driven memory shortages pushed unit values sharply higher. Export growth will be at risk if chip prices normalize or AI spending slows, and a broader recovery still depends on reviving household confidence.
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Authorities will focus on maintaining financial stability. At the Financial Street Forum on 19 October, People's Bank of China Governor Pan Gongsheng announced a potential shift to an overnight policy anchor, plus a new non-bank liquidity backstop, aimed at improving rate transmission and preventing bond market runs. Funding cost relief will be targeted and conditional, though, with lower borrowing

costs depending on further implementation.

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Beijing is reinforcing long-term support for technological self-reliance. The 21 October guidelines, jointly released by the General Offices of the Chinese Communist Party (CCP) Central Committee and the State Council, represent top-level national strategies and call for lifecycle financing and longer investment evaluation horizons for state-backed venture funds. Policies include shifting from direct subsidies to institutional financial support, aiming to steer capital toward high-tech industries and expand export capacity for high-end equipment, green tech, and AI hardware over the medium to long term.

US-China

Beijing will calibrate its response to the DeepSeek ban to keep the Shenzhen leaders meeting on track. On 20 October, the US Department of Homeland Security (DHS) disclosed a July order banning DeepSeek-related technologies from federal civilian IT systems. A day earlier, the State and Treasury departments also announced sanctions on five Chinese entities over AI-related intellectual property theft.

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China has incentives to avoid retaliating ahead of the APEC summit. The Ministry of Commerce sharply criticized the DeepSeek ban, arguing that it disregarded the consensus reached by the two countries' leaders and discriminated against Chinese AI companies. However, there is no indication that Beijing views the measure as a breach of the broader trade truce. The absence of public retaliation since the order's implementation in July further suggests that Beijing is willing to contain the dispute.

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A targeted, one-off countermeasure is nevertheless possible. Beijing could impose additional restrictions on US technology companies' participation in Chinese government procurement, mirroring the DeepSeek ban. It could also launch national security investigations into selected US technology exports to China under the Foreign Trade Law, as it did in early August in response to restrictions imposed by the US Federal Communications Commission.

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These AI-related measures will complicate efforts to advance bilateral AI cooperation. Treasury Secretary Scott Bessent and Vice Premier He Lifeng are expected to meet in November ahead of the APEC summit to discuss next steps on AI safety coordination. The latest US actions, alongside China's recently announced AI export controls (see forthcoming note), will make substantive dialogue on maintaining stability in the sector more difficult.

Foreign Policy

Beijing would host a China-US-Russia trilateral summit but not discuss denuclearization. Since July, Moscow has floated the idea of holding a trilateral leaders' meeting on the sidelines of the APEC summit in Shenzhen next month that would focus on ending the Ukraine conflict. President Donald Trump expressed his support on 19 October for a trilateral meeting but suggested the focus of the summit should be denuclearization. China's foreign ministry continues to deflect questions about a potential trilateral summit but has not ruled out the possibility of hosting a meeting, likely in line with Moscow's proposal.

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A China-US-Russia meeting summit is unlikely to come together by the APEC summit. With less than a month remaining until APEC, meaningful planning for a trilateral meeting has yet to begin. Ongoing

disagreements over the focus of the discussion will further delay progress and make Beijing uneasy.
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China would likely facilitate a trilateral discussion that narrowly focuses on ending the Ukraine conflict. Beijing would welcome a seat at the table—alongside two other major powers—even as Chinese officials believe that their influence over the Ukraine war is limited. Beijing continues to call for an end to the conflict and has refrained from providing weapons to Russia, although China’s exports of dual-use items and purchases of Russian energy have helped prop up Moscow’s war machine.
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Beijing will not discuss arms control or denuclearization. China remains opposed to trilateral arms control talks, which Trump has proposed in the past. Beijing is highly unlikely to agree to freeze or reduce its nuclear arms stockpile until it has narrowed the quantitative gap with the US.

Politics
China will continue to back data center construction as other countries pull back. On 16 October, President Xi Jinping inspected green computing infrastructure in Inner Mongolia and reaffirmed the East Data West Computing project as a national strategic priority (see China's data center buildout hobbled by chip shortages and planning missteps , 2 October 2026). On 20 October, Vice Premier Ding Xuexiang oversaw the founding of the National Data Group at Xiong'an, a state-owned enterprise that will focus on national-level data commercialization.

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China will double down on AI infrastructure. Xi reiterated the computing power network as one of China's “six networks,” placing it alongside transportation and energy as infrastructure requiring sustained state investment. His inspection of Ulanqab, a city not far from Beijing that has overtaken Guizhou as China's primary AI data center hub, indicates top-level endorsement of a build-out already attracting investment from Huawei, Alibaba, and DeepSeek.
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Beijing is tackling resource constraint challenges that Western countries see as impediments to data center buildouts. Both Xi and Ding’s inspections affirm Beijing's unwavering support for data infrastructure at a moment when energy, water, and regulatory concerns are slowing construction elsewhere. Xi’s emphasis on “coordination among computing, electricity, and water” directly addresses the resource constraints generating resistance in the US and Europe.
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Beijing is building an institutional framework to extract commercial and strategic value from data centers. The founding of the National Data Group seeks to provide the commercial architecture to capitalize on the infrastructure being built. It pairs with the National Data Bureau established in 2023 under the National Development and Reform Commission. The bureau coordinates development policy, while the state-owned enterprise operates data markets and breaks silos across sectors and regions.

Taiwan
Chinese maritime patrols around Taiwan likely to increase. On 18 October, Taiwan’s coast guard expelled four Chinese research and fishing vessels from the 24-nautical-mile contiguous zone east and southwest of Taiwan. Two China Coast Guard (CCG) vessels sailed within 24 nautical miles of Pratas Island in the South China Sea. Another CCG vessel entered the same area near Pratas Island on 20 October without turning on its transponders. Taiwan’s coast guard condemned Chinese actions as “hybrid warfare” that “uses the pretext of law enforcement to expand [maritime control].”

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Beijing aims to justify its sovereignty claims over Taiwan through regular patrols of the waters around the island (see: Beijing leverages US truce to expand maritime control around Taiwan, 20 July 2026). Such coercion is not severe enough to trigger a US response, but it imposes consistent pressure on Taiwan's coast guard and the Taipei leadership.

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The CCG has normalized patrols near Taiwan's offshore islands, including Kinmen, Matsu, and Pratas Islands, since 2024. It began conducting monthly patrols in waters east of Taiwan in June. The 18 October incident was notable for the large number of vessels simultaneously breaching Taiwan's restricted waters.

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The White House is unlikely to issue a statement condemning Chinese actions. Only the chair of the US-China Economic and Security Review Commission criticized Chinese coercion as "highly destabilizing" at a forum in Taipei on 20 October.

Standing calls

Notes underpinning calls:

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Hybrids deal won't stop gradual EU trade policy tightening , 14 October 2026

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Summit lowers odds of year-end bilateral breakdown , 25 September 2026

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Beijing's growing confidence will heighten Taiwan risks after 2028 , 15 September 2026

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Beijing will maintain calibrated pressure campaign against Tokyo , 20 July 2026

Upcoming Events

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26–29 October: Fifth Plenum of the 20th CCP Central Committee

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30–31 October: G20 Foreign Ministers meeting in Atlanta

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15 November: Comment period ends for China's newly announced AI export controls

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16–18 November: ASEAN summit in Manila

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18–19 November: APEC summit in Shenzhen

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28 November: Taiwan local elections

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14–15 December: G20 leaders' summit in Miami

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10 January: US-China truce extension expiration

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